

Business Management

Lecture Notes

Contents

Chapter 1

Lecture 1 – 07/09/2026

To manage a business, we first need to understand what a business is.

A business differs from economics: economics is the social science that studies how scarce resources are allocated, whereas a business is an organization that produces goods or services to satisfy customer needs and generate a profit.

Another perspective views a business as a legal entity. As an organization, it operates within a hierarchy that includes roles such as CEOs, managers, and employees.

1.0.1 Law

Law can be defined as:

- A set of rules designed to resolve conflicts of interest.
- An organizational framework to enforce those rules.
- A system of shared beliefs and social norms.

Generally, starting a business in a jurisdiction with strong legal protections is advantageous, as the law safeguards capital and intellectual property from theft or infringement.

For example, Artificial Intelligence (AI) regulation varies significantly by country. What is legal in one jurisdiction may be restricted or illegal in another, requiring founders to assess legal environments prior to launch.

1.0.2 Stakeholders

While shareholders hold equity shares and own part of the company, stakeholders include any individual or entity affected by the company's decisions and operations.

There are two primary types of stakeholders:

- **Internal Stakeholders:** Individuals within the organization, such as employees, managers, and owners.
- **External Stakeholders:** External entities affected by operations, including customers, suppliers, competitors, and regulatory bodies.

Each stakeholder group utilizes distinct legal and contractual mechanisms to protect their interests.

1.0.3 Financing the Company

- **Debt vs. Equity:** Debt refers to borrowed capital (e.g., from banks) that must be repaid with interest. Equity refers to capital raised from investors in exchange for ownership shares.
- **Equity Investors:** Investors provide capital in exchange for ownership shares, seeking long-term growth and accepting business risk. Key types include:
 - **Business Angels:** High-net-worth individuals who invest their personal capital in early-stage startups.
 - **Venture Capitalists (VCs):** Professional investment firms that deploy capital from institutional funds.
- **Debt Financing Instruments:** Different debt instruments carry distinct risk profiles and terms:
 - **Bonds:** Long-term debt securities issued to investors that pay periodic interest.
 - **Loans:** Direct debt agreements with fixed repayment schedules and interest rates.
 - **Lines of Credit:** Flexible credit arrangements allowing companies to draw funds up to a set limit as needed.

Chapter 2

Business Model

A business model is a conceptual framework describing how an organization creates, delivers, and captures value.

- **Revenue Assumptions:** What a company charges for (e.g., direct sales, subscription fees, data monetization, advertising space).
- **Cost Assumptions:** What a company incurs expenses for (e.g., raw materials, labor, marketing, R&D).

Business Model Definition

A business model defines who your target customer is, what value you create or add for them, and how you deliver that value at a sustainable cost.

The foundational step in business modeling is identifying customer needs. Sustainable profitability—rather than revenue alone—is essential, as profits generate the capital required for reinvestment and growth.

Example (Nespresso): Nespresso tested several business models that initially failed. They achieved success by repositioning coffee as a luxury experience—opening boutiques in premium retail locations worldwide and selling single-serve pods at a premium price point.

A robust business model also serves as a diagnostic tool to identify operational and legal risks.

“A business model describes how the business runs, whereas a competitive strategy defines how the business performs better than its competitors.”

2.0.1 Emerging Technologies

An emerging technology is a novel, rapidly growing technology characterized by fast development cycles and high market uncertainty.

Multiple technological solutions can address the same underlying customer need. For example, to commute to school, a person might buy a bicycle, rent one, walk, or hire a ride-sharing service. The optimal choice depends on constraints such as available budget and time.

2.0.2 Examples of Business Models

- **Crowdsourcing:** Outsourcing tasks or content creation to a distributed group of individuals, typically via online platforms (e.g., Wikipedia, YouTube).
- **Freemium:** Offering a basic version of a product or service for free while charging for premium features or higher usage tiers (e.g., Dropbox).
- **Subscription:** Charging customers a recurring fee (monthly or annually) for continuous access to a product or service (e.g., Netflix).
- **Negative Operating Cycle:** Receiving payment from customers before paying suppliers for goods, optimizing working capital (e.g., Amazon).
- **Disintermediation:** Removing intermediaries from the supply chain to sell directly to end consumers, reducing transaction costs (e.g., Dell).
- **Aggregator:** Consolidating information or service listings from multiple providers into a single platform for customer convenience (e.g., Airbnb).

Chapter 3

Lecture 2 – 09/09/2026 Business Model Canvas

The **Business Model Canvas (BMC)** is a visual tool used to describe, analyze, and develop a company's business model. It represents the main elements of a business and shows how they are connected.

The Business Model Canvas describes four main areas of a business:

- **Customers:** who the company serves;
- **Value:** what value the company provides to customers;
- **Infrastructure:** how the company creates and delivers value;
- **Finances:** how the company generates revenues and manages costs.

The Business Model Canvas helps entrepreneurs and managers visualize the business model, identify relationships between its different elements, and understand possible trade-offs.

3.0.1 Business Model vs. Business Plan

A **business model** describes how a company creates, delivers, and captures value. In particular, it explains how the company operates and how it generates profit.

A **business plan**, instead, is a formal document that describes the company's objectives, strategies, market analysis, operations, and expected financial performance.

Therefore:

- **Business model:** explains *how the business works*;
- **Business plan:** explains *how the business will be developed and managed*.

The Business Model Canvas is a tool that helps entrepreneurs and managers visualize and analyze the business model.

3.1 Business Model Examples

A company can generate revenues through different business models.

- **product:** The company sells a product or service directly to customers, generating revenue through direct sales.
- **publicity / advertising:** The company generates revenue by selling advertising space or promoting products and services to a target audience.
- **fee / usage fee:** The company provides a service or platform and charges users a fee for access or for using the service. The customer pays according to the amount or frequency of usage.
- **subscription:** The company charges customers a recurring fee, usually monthly or annually, in exchange for continuous access to a product or service.
- **freemium:** The company offers a basic version of the product or service for free, while charging customers for additional or premium features. The objective is to attract a large number of users with the free version and convert some of them into paying customers.
- **accessories:** The company sells additional products or services that complement the main offering. Revenues are generated through **upselling** or **cross-selling** of accessories.

3.2 What is a Business Model?

The Business Model Canvas is composed of **nine building blocks**:

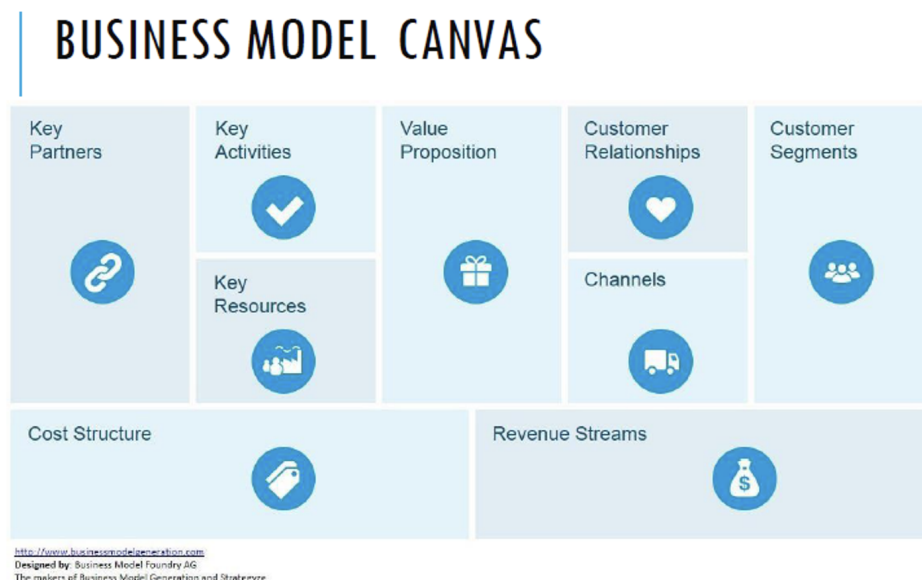


Figure 3.1: Business Model Canvas

These nine elements explain how a company creates, delivers, and captures value.

3.3 1. Value Proposition

The **value proposition** explains the value that a company offers to its customers and why customers should choose its product or service instead of competitors' alternatives.

The value proposition can be based on different factors, such as: price, quality, convenience, innovation, performance, customization, design, brand, accessibility, and risk reduction.

A company can have **several value propositions** because different customer segments may have different needs and expectations.

The company should identify the value proposition that is the most profitable and sustainable for each target customer segment.

3.3.1 Types of Value Propositions

- **Novelty:** The product or service is new and innovative, offering a unique solution to a problem or need.
- **Performance:** The product or service offers superior performance or functionality compared with competitors.
- **Customization:** The product or service can be tailored to meet the specific needs or preferences of individual customers.
- **Design:** The product or service has an appealing aesthetic or user experience that differentiates it from competitors.
- **Brand / Status:** The product or service is associated with a prestigious brand or represents a status symbol that increases its perceived value.
- **Price:** The product or service is offered at a competitive or affordable price that appeals to cost-conscious customers.
- **Convenience:** The product or service is easy to access, use, or integrate into customers' lives, saving time or effort.
- **Risk Reduction:** The product or service reduces uncertainty or potential negative outcomes for customers,
- **Accessibility:** The product or service is made available to a wider range of customers, including customers with limited resources or special needs.
- **Cost Reduction:** The product or service helps customers save money or reduce expenses in the long term.

3.4 2. Customer Segments (For Whom?)

The **customer segment** is the group of people or organizations that a company aims to serve and for whom it creates value.

The market is divided into different groups of customers. These groups can have different needs, preferences, behaviors, and characteristics.

A segment can be identified according to:

- **Demographics:** age, gender, income, education, occupation, etc.;
- **Psychographics:** lifestyle, personality, values, interests, etc.;
- **Behavior:** purchasing habits, frequency of use, brand loyalty, etc.;
- **Needs:** specific problems or requirements that customers want to solve.

A **market segment** is a group of people who respond in a similar way to a marketing strategy.

For example, engineering students and architecture students may represent different customer segments because they can have different needs and preferences.

The customer segment can also be divided into **sub-segments** based on specific characteristics or behaviors.

In a market, there are different customer groups, and the company chooses a **target segment** on which to focus.

The **target segment** is the group of customers that the company specifically aims to serve and create value for.

3.4.1 Example: Ferrari

Ferrari focuses strongly on quality, performance, luxury, exclusivity, and brand/status.

Its target customers are generally high-income individuals who value: high performance, luxury, exclusivity, prestige, and status.

The target segment can also be divided into smaller sub-segments according to customers' specific preferences and motivations.

For Ferrari, customers may be particularly interested in the **status and prestige** associated with owning the brand.

3.5 3. Channels(How Do We Get It to Them?)

Channels describe how a company communicates with customers and how it delivers its value proposition to them.

Channels can be:

- direct or indirect;
- online or offline;
- owned by the company or shared with other companies.

Examples of channels include: physical stores, websites, mobile applications, social media, email marketing, distributors, partners, marketplaces, events, traditional advertising, and print media.

The company has to choose the channel that is the most **effective and efficient** for each customer segment.

3.5.1 Direct Channels

A **direct channel** is a channel through which the company sells or communicates directly with customers.

Examples include:

- a physical store owned by the company;
- the company's website;
- the company's mobile application;
- direct sales.

3.5.2 Indirect Channels

An **indirect channel** involves an intermediary between the company and the final customer.

Examples include: distributors, retailers, agents, business partners, and marketplaces.

3.5.3 Owned and Partner Channels

A company can use channels that it owns or channels shared with other companies.

For example:

- an owned website is an **owned channel**; legal forms
country and laws
company size
cost of complexity

3.5.4 Retail Store Example

A **retail store** is a business that sells products directly to customers.

The retailer can buy products from another company and resell them to customers, generating revenue through a **markup** or commission.

For example:

$$\text{Purchase Price} + \text{Markup} = \text{Selling Price}$$

The retail store can be: physical, online, or both.

A retailer can also provide additional services such as: customer support, returns, exchanges, warranties, marketing and promotional activities, and loyalty programs.

The channels and customer relationships should be adapted to the specific needs and characteristics of the target segment.

3.6 4. Customer Relationships

Customer relationships describe the type of relationship that a company establishes and maintains with its customers.

Customer relationships can be:

- personal or automated;
- transactional or long-term.

Examples include: personal assistance, dedicated personal assistance, self-service, automated services, loyalty programs, feedback systems, communities, and co-creation.

The company has to design the customer relationship that is most suitable for each customer segment.

For example, a cleaning-room worker and a university teacher may have very different needs and preferences. Therefore, the company may need to use different channels and customer relationships for different customer segments.

3.7 5. Revenue Streams

Revenue streams are the sources of income that a company generates from its business activities.

They explain **how the company makes money**.

Revenue streams can be based on different pricing models, such as: one-time sales, recurring subscriptions, licensing fees, advertising revenue, usage fees, and commissions.

Different customer segments or different value propositions can generate different revenue streams.

For example:

$$\text{Revenue} = \text{Price} \times \text{Quantity Sold}$$

However, a company may also generate recurring revenues through subscriptions or usage-based pricing.

3.8 6. Key Resources

Key resources are the assets that a company needs to create, deliver, and capture value.

Key resources can be classified into four main categories:

- **Physical resources;**
- **Intellectual resources;**
- **Human resources;**
- **Financial resources.**

3.8.1 Example: Electric Car Company

To produce electric cars, a company needs different types of key resources.

- **Physical:** factories, machinery, batteries, raw materials;
- **Intellectual:** patents, designs, software, technology;
- **Human:** engineers, designers, technicians;
- **Financial:** capital, loans, and investments.

Key resources can be owned by the company or accessed through partnerships and outsourcing.

3.9 7. Key Activities

Key activities are the most important actions that a company must perform to create and deliver its value proposition, reach customers, and generate revenues.

Examples of key activities include:

- production;
- research and development;
- marketing;
- sales;
- distribution;
- problem solving;
- platform management;
- customer support.

The key activities depend on the company's business model.

For example, for a manufacturing company, production may be one of the most important activities. For a technology company, software development and research may be more important.

3.10 8. Key Partnerships

Key partnerships are strategic alliances that a company forms with other organizations in order to improve its capabilities, reduce risks, access resources, or reach new markets.

Key partners can include: suppliers, distributors, technology providers, research institutions, joint-venture partners, and other companies.

These partnerships can help the company ensure a reliable supply chain, efficient charging infrastructure, and advanced vehicle features.

A company can start without key partnerships, but partnerships can become important when the company needs external resources, expertise, technology, distribution, or risk sharing.

3.10.1 Four Types of Partnerships

There are four main types of partnerships:

1. Strategic Alliances Between Non-Competitors

Two companies that operate in different industries or markets collaborate to achieve mutual benefits.

They are not direct competitors but can complement each other's activities.

2. Coopetition: Strategic Partnerships Between Competitors

Two companies that operate in the same industry or market collaborate to achieve common goals.

Examples include:

- joint research and development;
- shared marketing campaigns;
- co-branding;
- technology development.

This type of relationship can be described as **coopetition**, because companies cooperate while still competing in other areas.

3. Joint Ventures

Two or more companies create or participate in a separate business entity to pursue a specific project or business opportunity.

The partners share resources, risks, responsibilities, and potentially profits.

4. Buyer-Supplier Relationships / Bottleneck Partnerships

A company establishes a partnership with a supplier or another organization to secure access to an essential resource or overcome a specific constraint.

3.11 9. Cost Structure

The **cost structure** describes all the costs and expenses that a company incurs in order to operate its business model.

It includes the costs associated with: key resources, key activities, key partnerships, production, distribution, marketing, customer relationships, and administration. The cost structure can be divided into different types.

Google - Business Model Canvas



Figure 3.2: Cost Structure

Chapter 4

Lecture 3 – 14/09/2026 Cornell note taking model

This method consists of dividing the page into three parts: the right part is the note-taking area, the left part is the cue column, and the bottom part is the summary area. The note-taking area is used to write down the main ideas and details of the lecture or reading material. The cue column is used to write down questions, keywords, or prompts that help you recall the information in the note-taking area. The summary area is used to write a brief summary of the main points and concepts covered in the notes.

understand the business

Cue column

Note-taking area

goal of a business

resources of a business

stakeholders of a business

flow of money

the goal of a business is to create value for its customers and generate profit. profits is different with revenue. we can have revenue without profit.(paypal)

a business have 4 type of resources: money, people, technology, and materials. they are totally connected. the money is the most important resource because it allows the company to acquire other resources. the people are the most important resource because they are the ones who create value for the customers. the technology is the most important resource because it allows the company to create value for the customers. the materials are the most important resource because they allow the company to create value for the customers.

stakeholders are divided in 4 type and depend on their goals. the 4 type are: shareholders, executives, middle managers, and employees. shareholders not always are inside in the company and they are interested about the profits, while the executives (CEO) are interested about the growth of the company. the middle managers are interested about the performance of the company, while the employees are interested about the stability.

4.1 flow of money

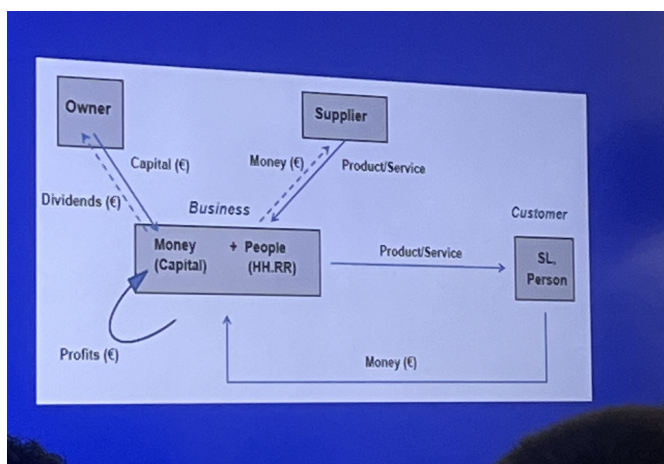


Figure 4.1: Flow of Money

Summary

we can have money without profit; without money we can't have other resources.

understand the business

Cue column

Note-taking area

for every type of company what the primary goal is and how the profit is used.

timeline: risk and profitability

results: profit or loss

(providers of assets or materials can be see equal, because they are debtors of the company.)

- for-profit companies: (apple, google, amazon) the goal is stakeholder returns. the profit is used to reinvest in the company.
- non-profit companies: the goal is the mission of the company. the profit is used to reinvest in the company (expand the mission).
- cooperative companies: the members are workers that are interested about the growth of company to have benefits. the goal is to create value for the customers and generate profit. the profit is used to pay the shareholders and to reinvest in the company.
- social enterprises: (patagonia) the goal is have profits but also to have a social impact. the profit is used to pay the shareholders and to reinvest in the company.
- government agency: school, hospital, police, fire department. the goal is to create value for the customers and generate profit. the profit is used to pay the shareholders and to reinvest in the company.

4.2 timeline

it is necessary to manage profitability and risk over the time. during the first years of a company, the risk is high and the profitability is low. after some years, the stability of company growth and for this reason the risk became low (TESLA). the profitability after some years can be reduced because the market is saturated and the competition is high.

4.3 results

the results of a company can be profit or loss. we calculate it like: $\text{income} - \text{expenses}$

Summary

companies have different goals and different ways to use the profit. the risk and profitability change over the time. the results can be profit or loss.

VALUE CHAIN AND FINANCIAL

Cue column

Note-taking area

legal forms country and laws company size cost of complexity

how work in the company country and laws complexity and cost

- freelancer: a person who works independently and offers services to clients on a project basis.
- society autonoma: a company that is owned and operated by a single individual, who is responsible for all aspects of the business.
- society limited: a company that is owned by a small group of individuals, who share the profits and losses of the business.

every country has different laws and regulations for the companies. for example:

- walmart: USA, INC
- BMW: Germany, AG
- Ferrari: Italy, SPA

4.4 cost of complexity

the cost of complexity is the cost of managing a complex organization. it depend on small, medium, and large companies. the cost of complexity is higher for large companies because they have more employees, more customers, more products, and more markets. the cost of complexity is lower for small companies because they have fewer employees, fewer customers, fewer products, and fewer markets.

Summary

Different legal forms determine how companies are owned and managed. Companies must follow the laws of the countries in which they operate, and larger organizations face higher costs of complexity because they manage more employees, customers, products, and markets.

understand the business - Finance(2) -16/09/2026

Cue column	Note-taking area
what's finance	the finance is necessary to manage the company, it response at question like: how much money we have? how much money we need(how I can borrow them)? how much money we spend(texas...)? how much money we earn?
financial tool	In finance there are several tools to answer these questions, like: financial accounting, taxation, cost accounting, financial management, and investment analysis. In a business is necessary record every transaction, and to this we use bookkeeping. The bookkeeping is the process of organizing financial transactions in a systematic way. in this part we use balance sheet, income statement, and cash flow statement to understand the financial situation of the company.
money flow and balance	money in a company came from different sources,and it is used for different purposes. the bookkeeping is the process of recording and organizing financial transactions in a systematic way. the accounting is the process of analyzing and interpreting financial data to make informed business decisions. • profit: the difference between revenue and expenses. it is the money that a company earns after deducting all costs. • cash: the money that a company has on hand or in its bank accounts. it is used to pay for expenses and invest in the business. • revenue: the money that a company earns from its business activities, such as sales of products or services. • equity: the ownership interest in a company. it represents the residual value of the company after deducting liabilities from assets. • debt: the money that a company owes to creditors. it is used to finance the business and can be in the form of loans, bonds, or other financial instruments.

Summary

the finance is the subdget that analyze the money flow in a company. the finance use several tools to understand the financial situation of the company.

understand the business - Finance(2) -16/09/2026

Cue column

Note-taking area

financial equation

the financial equation is: $\text{assets} = \text{liabilities} + \text{equity}$. this equation shows that the assets of a company are financed by the liabilities and the equity. the assets are the resources that a company owns, while the liabilities are the obligations that a company owes to others. the equity is the residual interest in the assets of a company after deducting liabilities.

double entry book-keeping

the accounting equation behaves like a system invariant. For example if a investor give 1000 to a company, the assets increase of 1000 and the equity increase of 1000. if the company buy a machine for 500, the assets decrease of 500 and the liabilities increase of 500. this system is double entry bookkeeping, because every transaction affects at least two accounts. in the balance this equation is always true, because the total credits (right side) are always equal to the total debts (left side).

for example a company pay a car 30000 in 60 days. the car is an asset, and the debt is a liability. when the company pay the car, the asset increase of 30000 and the liability decrease of 30000. the total credits are always equal to the total debts. if the car is bought in cash, the asset increase of 30000 for the car and the asset decrease of 30000 for cash.

difference between cash and profit

i can have profits without cash, because the profit is the difference between revenue and expenses, while the cash is the money that a company has on hand or in its bank accounts. for example if a company sell a product for 1000 and the cost of the product is 500, the profit is 500. but if the customer pay in 60 days, the cash is 0.

The difference between equity and liabilities is that equity represents the ownership interest in a company, whereas liabilities represent the obligations a company has towards third parties. Equity is what remains of a company's assets after deducting liabilities, while liabilities are the amount of money a company owes to creditors.

Summary

In the balance every transaction have two effects, one on the left side and one on the right side. the total credits are always equal to the total debts.

understand the business - Finance(2) -16/09/2026

Cue column

difference between
bookkeeping and ac-
counting

Note-taking area

accounting

the accounting is the process of analyzing and interpreting transactions. it is used to prepare financial statements, such as the balance sheet, income statement, and cash flow statement. the most util thinks are balancace and profit s.

bookkeeping

who write the bookkeeping usally use daybook and general ledger. the daybook is a chronological record of all financial transactions. the general ledger is a record of all accounts and their balances. the chart of accounts is a list of all accounts used in the accounting system.

At the end we cans ay that this two part are connected, because the bookkeeping is the process of recording finan- cial transactions, while accounting is the process of analyzing and interpreting those transactions to prepare financial state- ments. account focus in why the transaction happened, while bookkeeping focus in what happened.

five account families

account families

- assets: resources owned by the company that have eco- nomic value and can be used to generate revenue(cash, machine...).
- liabilities: obligations or debts that the company owes to external parties,(loans, accounts payable, or taxes.)
- equity: the residual interest in the assets of the company after deducting liabilities. it represents the ownership interest of shareholders or owners.
- revenue: the income generated from the company's pri- mary business activities, (sales of products or services)
- expenses: the costs incurred in the process of generating revenue, (salaries)

expenxe in the left and revenue in the right.

Summary

bookkeeping is the process of recording financial transactions, while accounting is the process of analyzing and interpreting those transactions to prepare financial statements. The five account families are assets, liabilities, equity, revenue, and expenses.

STATO PATRIMONIALE	
ATTIVITÀ	PASSIVITÀ
Immobilizzazioni	Patrimonio netto
Attività correnti (liquidità, rimanenze, crediti a breve termine e altre attività ricorrenti)	Debiti a medio-lungo termine
	Passività correnti (debiti a breve termine, debiti finanziari e altre passività correnti)
TOTALE ATTIVITÀ	TOTALE PASSIVITÀ

Figure 4.2: Account Families

Chapter 5

understand the business - finance(3)

-21/09/2026

Balance Sheet is a financial statement that provides a snapshot of a company's financial position at a specific point in time. It shows the company's assets, liabilities, and equity, and how they are related through the accounting equation: $\text{Assets} = \text{Liabilities} + \text{Equity}$. It is divided on : what the company owns (assets) and what the company owes (liabilities and equity). left side: assets, right side: liabilities and equity. the left side is divided in current assets and non-current assets. the right side is divided in current liabilities and non-current liabilities. the equity is the residual interest in the assets of the company after deducting liabilities.

the asset are written in order of liquidity, which means that the most liquid assets are listed first, followed by less liquid assets. This allows investors to quickly assess the liquidity of a company and its ability to meet short-term obligations. The order of liquidity is typically as follows: cash and cash equivalents, marketable securities, accounts receivable, inventory, and other current assets. By presenting assets in this order, investors can better understand the company's financial position and make informed investment decisions. the liabilities are also listed in order of due, which means that the liabilities that are due soonest are listed first, followed by those that are due later. This allows investors to quickly assess the company's ability to meet its short-term obligations and manage its long-term debt. The order of maturity is typically as follows: accounts payable, short-term debt, long-term debt, and other liabilities. By presenting liabilities in this order, investors can better understand the company's financial position and make informed investment decisions.

what is the difference between a assets and a liability?

an asset is a resource that a company owns or controls that has economic value and can be used to generate revenue.

a liability is an obligation that a company owes to another party, they are usually in the form of money, goods, or services.

The PL and BS are connected because Profits and lost is the final result of the company in term of revenue and expenses, while the balance sheet shows the financial position of the company at a specific point in time. so if we have a profit, the equity will increase, while if we have a loss, the equity will decrease. And it's the reason why we need PL to complete BS

Chapter 6

understand the business - marketing(3)

-23/09/2026

6.1 depreciation

the depreciation is the process of allocating the cost of a long-term asset over its useful life. It is a non-cash expense that reflects the decrease in value of an asset over time due to wear and tear, obsolescence, or other factors. Depreciation is recorded on the income statement as an expense, which reduces the company's net income. It is also recorded on the balance sheet as a reduction in the value of the asset. The purpose of depreciation is to match the cost of the asset with the revenue it generates over its useful life, providing a more accurate picture of the company's financial performance. the depreciation is considered an expense because it represents the allocation of the cost of a long-term asset over its useful life. When a company purchases a long-term asset, such as equipment or a building, it records the cost of the asset on its balance sheet as an asset. However, over time, the value of the asset decreases due to wear and tear, obsolescence, or other factors. To reflect this decrease in value, the company records depreciation as an expense on its income statement. This expense reduces the company's net income and reflects the true cost of using the asset over time.

every expense is a decrease of cash,

exercise: a company buys a machine for 3,000. the depreciation is linear the finale price of the machine is 500 the time of use is 5 years the annual depreciation is $(3000-500)/5=$

6.2 the two clock of accounting

accounting has two clocks: the cash clock and the economic clock. The cash clock records transactions when cash is received or paid, while the economic clock records transactions when they are earned or incurred, regardless of when cash is exchanged. This means that revenue is recognized when it is earned, and expenses are recognized when they are incurred, even if payment has not yet been made. The accrual clock provides a more accurate picture of a company's financial performance and position, as it reflects the economic reality of transactions rather than just the timing of cash flows.

6.3 Financial analysis

Financial analysis refers to an assessment of viability, stability, and profitability of a company's financial performance and position using various financial statements and metrics. It involves analyzing the balance sheet, income statement, and cash flow statement to evaluate the company's profitability, liquidity, solvency, and efficiency. Financial analysis can help investors, creditors, and management make informed decisions about the company's operations, investments, and financing. Common techniques used in financial analysis include ratio analysis, trend analysis, and comparative analysis.

- liquidity: company can satisfy its short-term obligations with its current assets.
- solvency: company can satisfy its long-term obligations with its total assets.
- profitability: company can generate profit from its operations and investments.
- asset turnover: company can generate revenue from its assets.

6.3.1 liquidity

cash is the life-blood of a company: a company with high liquidity can easily convert its current assets into cash to pay off its short-term liabilities, while a company with low liquidity may struggle to meet its obligations and may face financial distress. Liquidity is important for maintaining the company's operations and reputation, as well as for attracting investors and creditors.

the **working capital** is a measure of a company's liquidity and represents the difference between its current assets and current liabilities (Working Capital = Current Assets – Current Liabilities). It indicates the amount of capital available to fund day-to-day operations and meet short-term obligations. A positive working capital indicates that a company has enough current assets to cover its current liabilities, while a negative working capital indicates that a company may struggle to meet its short-term obligations. the current liabilities are the debt that a company must pay within one year, while the current assets are the resources that a company can convert into cash within one year. (short-term is one year, long-term is more than one year). We don't care about the equity.

the **current ratio** is a financial metric that measures a company's ability to pay off its short-term liabilities with its short-term assets. It is calculated by : $\text{current ratio} = \frac{\text{current assets}}{\text{current liabilities}}$ A current ratio of 1 or higher indicates that a company has enough current assets to cover its current liabilities, while a current ratio below 1 indicates that a company may struggle to meet its short-term obligations. The current ratio is an important indicator of a company's liquidity and financial health.

the **quick ratio** is a financial metric that measures a company's ability to pay off its short-term liabilities with its most liquid assets, excluding inventory. It is calculated by:

$$\text{Quick Ratio} = \frac{\text{Current Assets} - \text{Inventory}}{\text{Current Liabilities}}$$

A quick ratio of 1 or higher indicates that a company has enough liquid assets to cover its current liabilities, while a quick ratio below 1 indicates that a company may struggle to meet its short-term obligations. The quick ratio is a more conservative measure of liquidity than the current ratio, as it excludes inventory, which may not be easily converted into cash.

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A		B		C	
100	Equity: 60	100	Equity: 100	100	Equity: 1
	Debt: 40		Debt: 0		Debt: 99
100	100	100	100	100	100

The three companies present different economic situations. The one I would not invest in is the third, because it carries excessive risk and relies on third parties. The second is in excellent shape, as it has no debt, but this implies a lack of investment and, consequently, no growth. The first company—with a 60 equity and 40 debt structure—is the one I would choose; it entails moderate risk but has active investments. Therefore, while making a fully informed decision would require more information, based solely on these data, the first company is the most attractive option.